EQUITY INDEXES

Learning Outcomes

- describe types of equity indexes
- compare types of security market indexes

A wide variety of equity indexes exist, including broad market, multi-market, sector, and style indexes.

Broad Market Indexes

A broad equity market index, as its name suggests, represents an entire given equity market and typically includes securities representing more than 90 percent of the selected market. For example, the Shanghai Stock Exchange Composite Index (SSE) is a market-capitalization-weighted index of all shares that trade on the Shanghai Stock Exchange. In the United States, the Wilshire 5000 Total Market Index is a market-capitalization-weighted index that includes all US equities with readily available prices and is designed to represent the entire US equity market.[3] The Russell 3000, consisting of the largest 3,000 stocks by market capitalization, represents approximately 98 percent of the US equity market.

Multi-Market Indexes

Multi-market indexes usually comprise indexes from different countries and regions and are designed to represent multiple security markets. Multi-market indexes may represent multiple national markets, geographic regions, economic development groups, and, in some cases, the entire world. World indexes are of importance to investors who take a global approach to equity investing without any particular bias toward a particular country or region. A number of index providers publish families of multi-market equity indexes.

MSCI offers a number of multi-market indexes. As shown in Exhibit 7, MSCI classifies countries and regions along two dimensions: level of economic development and geographic region. Developmental groups, which MSCI refers to as market classifications, include developed markets, emerging markets, and frontier markets. The geographic regions are largely divided by longitudinal lines of the globe: the Americas, Europe with Africa, and Asia with the Pacific. MSCI provides country- and region-specific indexes for each of the developed and emerging markets within its multi-market indexes. MSCI periodically reviews the classifications of markets in its indexes for movement from frontier markets to emerging markets and from emerging markets to developed markets and reconstitutes the indexes accordingly.

Exhibit 7:

MSCI Global Investable Market Indexes (as of October 2018)

Developed Markets		
Americas	**Europe and Middle East**	**Pacific**
Canada, United States	Austria, Belgium, Denmark, Finland, France, Germany, Ireland, Israel, Italy, Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, United Kingdom	Australia, Hong Kong SAR, Japan, New Zealand, Singapore

[1] The West African Economic and Monetary Union (WAEMU) consists of the following countries: Benin, Burkina Faso, Ivory Coast, Guinea-Bissau, Mali, Niger, Senegal, and Togo. Currently the MSCI WAEMU Indexes include securities classified in Senegal, Ivory Coast, and Burkina Faso.

[3] MSCI Panama Index has been launched as a Standalone Market Index.
Source: adapted from MSCI (https://www.msci.com/en/market-cap-weighted-indexes), October 2018.

Emerging Markets		
Americas	**Europe, Middle East, Africa**	**Asia**
Brazil, Chile, Colombia, Mexico, Peru	Czech Republic, Egypt, Greece, Hungary, Poland, Qatar, Russia, South Africa, Turkey, United Arab Emirates	Chinese Mainland, India, Indonesia, South Korea, Malaysia, Pakistan, Philippines, Taiwan region, Thailand

Frontier Markets				
Americas	**Europe & CIS**	**Africa**	**Middle East**	**Asia**
Argentina	Croatia, Estonia, Lithuania, Kazakhstan, Romania, Serbia, Slovenia	Kenya, Mauritius, Morocco, Nigeria, Tunisia, WAEMU[1]	Bahrain, Jordan, Kuwait, Lebanon, Oman	Bangladesh, Sri Lanka, Vietnam

MSCI Standalone Market Indexes[2]				
Europe, Middle East, and Africa	**Americas**	**Europe and CIS**	**Africa**	**Middle East**
Saudi Arabia	Jamaica, Panama,[3] Trinidad & Tobago	Bosnia Herzegovina, Bulgaria, Ukraine	Botswana, Ghana, Zimbabwe	Palestine

Fundamental Weighting in Multi-Market Indexes

Some index providers weight the securities within each country/region by market capitalization and then weight each country/region in the overall index in proportion to its relative GDP, effectively creating fundamental weighting in multi-market indexes. GDP-weighted indexes were some of the first fundamentally weighted indexes created. Introduced in 1987 by MSCI to address the 60 percent weight of Japanese equities in the market-capitalization-weighted MSCI EAFE Index at the time, GDP-weighted indexes reduced the allocation to Japanese equities by half.[4]

Sector Indexes

Sector indexes represent and track different economic sectors—such as consumer goods, energy, finance, health care, and technology—on either a national, regional, or global basis. Because different sectors of the economy behave differently over the course of the business cycle, some investors may seek to overweight or underweight their exposure to particular sectors.

Sector indexes are organized as families; each index within the family represents an economic sector. Typically, the aggregation of a sector index family is equivalent to a broad market index. Economic sector classification can be applied on a global, regional, or country-specific basis, but no universally agreed upon sector classification method exists.

Sector indexes play an important role in performance analysis because they provide a means to determine whether a portfolio manager is more successful at stock selection or sector allocation. Sector indexes also serve as model portfolios for sector-specific ETFs and other investment products.

Style Indexes

Style indexes represent groups of securities classified according to market capitalization, value, growth, or a combination of these characteristics. They are intended to reflect the investing styles of certain investors, such as the growth investor, value investor, and small-cap investor.

Market Capitalization

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these categories, the indexes differ on the distinctions between large cap and midcap and between midcap and small cap, as well as the minimum market-capitalization size required to be included in a small-cap index. Classification into categories can be based on absolute market capitalization (e.g., below €100 million) or relative market capitalization (e.g., the smallest 2,500 stocks).

Value/Growth Classification

Some indexes represent categories of stocks based on their classifications as either value or growth stocks. Different index providers use different factors and valuation ratios (low price-to-book ratios, low price-to-earnings ratios, high dividend yields, etc.) to distinguish between value and growth equities.

Market Capitalization and Value/Growth Classification

Combining the three market-capitalization groups with value and growth classifications results in six basic style index categories:

- Large-Cap Value
- Large-Cap Growth
- Mid-Cap Value
- Mid-Cap Growth
- Small-Cap Value
- Small-Cap Growth

Because indexes use different size and valuation classifications, the constituents of indexes designed to represent a given style, such as small-cap value, may differ—sometimes substantially.

Because valuation ratios and market capitalizations change over time, stocks frequently migrate from one style index category to another on reconstitution dates. As a result, style indexes generally have much higher turnover than do broad market indexes.

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